

4 FINANCIAL DOCUMENTS FOR WHOLE FOODS

Whole Foods Market, Inc. Consolidated Balance Sheets (In millions)

BALANCE SHEET

	September 25, 2016	September 27, 2015
Assets		
Current assets:		
Cash and cash equivalents	\$ 351	\$ 237
Short-term investments - available-for-sale securities	379	155
Restricted cash	122	127
Accounts receivable	242	218
Merchandise inventories	517	500
Prepaid expenses and other current assets	167	108
Deferred income taxes	197	199
Total current assets	1,975	1,544
Property and equipment, net of accumulated depreciation and amortization	3,442	3,163
Long-term investments - available-for-sale securities	—	63
Goodwill	710	710
Intangible assets, net of accumulated amortization	74	79
Deferred income taxes	100	144
Other assets	40	38
Total assets	\$ 6,341	\$ 5,741
Liabilities and Shareholders' Equity		
Current liabilities:		
Current installments of long-term debt and capital lease obligations	\$ 3	\$ 3
Accounts payable	307	295
Accrued payroll, bonus and other benefits due team members	407	436
Dividends payable	43	45
Other current liabilities	581	473
Total current liabilities	1,341	1,252
Long-term capital lease obligations, less current installments	1,048	62
Deferred lease liabilities	640	587
Other long-term liabilities	88	71
Total liabilities	3,117	1,972
Commitments and contingencies		
Shareholders' equity:		
Common stock, no par value, 1,200 shares authorized; 377.0 and 377.1 shares issued; 318.3 and 348.9 shares outstanding at 2016 and 2015, respectively	2,933	2,904
Common stock in treasury, at cost, 58.7 and 28.2 shares at 2016 and 2015, respectively	(2,026)	(1,124)
Accumulated other comprehensive loss	(32)	(28)
Retained earnings	2,349	2,017
Total shareholders' equity	\$ 3,224	\$ 3,769
Total liabilities and shareholders' equity	\$ 6,341	\$ 5,741

The accompanying notes are an integral part of these consolidated financial statements.

Whole Foods Market, Inc. Consolidated Statements of Shareholders' Equity Fiscal years ended September 25, 2016, September 27, 2015 and September 28, 2014 (In millions)

STATEMENT OF SHAREHOLDERS' EQUITY

	Shares outstanding	Common stock	Common stock in treasury	Accumulated other comprehensive income (loss)	Retained earnings	Total shareholders' equity
Balances at September 29, 2013	372.4	\$ 2,765	\$ (153)	\$ 1	\$ 1,265	\$ 3,878
Net income	—	—	—	—	579	579
Other comprehensive loss, net of tax	—	—	—	(8)	—	(8)
Dividends (\$0.48 per common share)	—	—	—	—	(176)	(176)
Issuance of common stock pursuant to team member stock plans	1.9	21	20	—	—	41
Purchase of treasury stock	(13.9)	—	(578)	—	—	(578)
Tax benefit related to exercise of team member stock options	—	9	—	—	—	9
Share-based payment expense	—	68	—	—	—	68
Balances at September 28, 2014	360.4	2,863	(711)	(7)	1,668	3,813
Net income	—	—	—	—	536	536
Other comprehensive loss, net of tax	—	—	—	(21)	—	(21)
Dividends (\$0.52 per common share)	—	—	—	—	(186)	(186)
Issuance of common stock pursuant to team member stock plans	2.3	(34)	100	—	—	66
Purchase of treasury stock	(13.8)	—	(513)	—	—	(513)
Tax benefit related to exercise of team member stock options	—	11	—	—	—	11
Share-based payment expense	—	64	—	—	—	64
Other	—	—	—	—	(1)	(1)
Balances at September 27, 2015	348.9	2,904	(1,124)	(28)	2,017	3,769
Net income	—	—	—	—	507	507
Other comprehensive loss, net of tax	—	—	—	(4)	—	(4)
Dividends (\$0.54 per common share)	—	—	—	—	(174)	(174)
Issuance of common stock pursuant to team member stock plans	1.1	(23)	42	—	—	19
Purchase of treasury stock	(31.7)	—	(944)	—	—	(944)
Tax benefit related to exercise of team member stock options	—	3	—	—	—	3
Share-based payment expense	—	49	—	—	—	49
Other	—	—	—	—	(1)	(1)
Balances at September 25, 2016	318.3	\$ 2,933	\$ (2,026)	\$ (32)	\$ 2,349	\$ 3,224

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Whole Foods Market, Inc. Consolidated Statements of Cash Flows Fiscal years ended September 25, 2016, September 27, 2015 and September 28, 2014 (In millions)

STATEMENT OF CASH FLOWS

	2016	2015	2014
Cash flows from operating activities			
Net income	\$ 507	\$ 536	\$ 579
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	498	439	377
Impairment of long-lived assets	5	48	1
Share-based payment expense	49	64	68
LIFO expense (benefit)	(7)	1	16
Deferred income tax expense (benefit)	47	(43)	(78)
Excess tax benefit related to exercise of team member stock options	(4)	(11)	(9)
Accretion of premium/discount on marketable securities	1	17	27
Deferred lease liabilities	43	32	36
Other	11	5	11
Net change in current assets and liabilities:			
Accounts receivable	(24)	(21)	(14)
Merchandise inventories	(11)	(61)	(41)
Prepaid expenses and other current assets	(59)	(9)	(4)
Accounts payable	13	20	30
Accrued payroll, bonus and other benefits due team members	(29)	58	12
Other current liabilities	62	47	54
Net change in other long-term liabilities	14	7	23
Net cash provided by operating activities	1,116	1,129	1,088
Cash flows from investing activities			
Development costs of new locations	(395)	(516)	(447)
Other property and equipment expenditures	(321)	(335)	(263)
Purchases of available-for-sale securities	(593)	(494)	(720)
Sales and maturities of available-for-sale securities	431	928	1,054
Purchases of intangible assets	(2)	(3)	(20)
Decrease (increase) in restricted cash	4	(19)	2
Payment for purchase of acquired entities, net of cash acquired	(11)	(4)	(73)
Other investing activities	(8)	(12)	(17)
Net cash used in investing activities	(895)	(455)	(484)
Cash flows from financing activities			
Purchases of treasury stock	(944)	(513)	(578)
Common stock dividends paid	(177)	(184)	(170)
Issuance of common stock	19	66	42
Excess tax benefit related to exercise of team member stock options	4	11	9
Proceeds from long-term borrowings	999	—	—
Proceeds from revolving line of credit	300	—	—
Payments on long-term debt and capital lease obligations	(306)	(1)	(1)
Other financing activities	(8)	(1)	—
Net cash used in financing activities	(113)	(622)	(698)
Effect of exchange rate changes on cash and cash equivalents	6	(5)	(6)
Net change in cash and cash equivalents	114	47	(100)
Cash and cash equivalents at beginning of period	237	190	290
Cash and cash equivalents at end of period	\$ 351	\$ 237	\$ 190
Supplemental disclosure of cash flow information:			
Federal and state income taxes paid	\$ 377	\$ 383	\$ 429
Interest paid	\$ 27	\$ —	\$ —

The accompanying notes are an integral part of these consolidated financial statements.

Whole Foods Market, Inc. Consolidated Statements of Operations Fiscal years ended September 25, 2016, September 27, 2015 and September 28, 2014 (In millions, except per share amounts)

INCOME STATEMENT

	2016	2015	2014
Sales	\$ 15,724	\$ 15,389	\$ 14,194
Cost of goods sold and occupancy costs	10,313	9,973	9,150
Gross profit	5,411	5,416	5,044
Selling, general and administrative expenses	4,477	4,472	4,032
Pre-opening expenses	64	67	67
Relocation, store closure and lease termination costs	13	16	11
Operating income	857	861	934
Interest expense	(41)	—	—
Investment and other income	11	17	12
Income before income taxes	827	878	946
Provision for income taxes	320	342	367
Net income	\$ 507	\$ 536	\$ 579
Basic earnings per share	\$ 1.55	\$ 1.49	\$ 1.57
Weighted average shares outstanding	326.1	358.5	367.8
Diluted earnings per share	\$ 1.55	\$ 1.48	\$ 1.56
Weighted average shares outstanding, diluted basis	326.9	360.8	370.5
Dividends declared per common share	\$ 0.54	\$ 0.52	\$ 0.48

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